

Management Report

Mercedes
IndusMoney

Code: 17C1

for Group 7 Company 6

PLEASE CHECK ...

your decisions

Year 2018 Qtr 3

Advertising: (€'000)

	Corporate	Product 1	Product 2	Product 3
Europe	15	20	16	12
Nafta	8	7	4	3
Internet	12	9	7	5

Prices (€):

Europe	330	500	750
Nafta	350	530	750
Internet	350	550	860

Quantities to deliver to:

European agents	887	647 *	370
(Not in full Nafta distributors	87	29	40
if starred) Internet distributor	177	154	80

Quality:

Take up product improvements	0	0	0
Product development (€'000)	10	27	40
Assembly times (minutes)	110	170	330
Premium materials (%)	1	1	1

Subcontracting:

Components to order (units)	100	50	50
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Agents and distributors:

European agents
Nafta distributors
Internet distributor

Number needed
3
3

Support (€'000)
7
6
26

Commn. %
12
12
5

Operations:

Materials to buy ('000) Spot
Maintenance hours/machine
Number of ports operated

0
15
10

3mth 0 6mth
Shift level
Web-site development

0
2
30

Personnel:

Assembly workers to recruit
Hourly wage rate (€c)
Management budget (€'000)

6
13,00 *
80

Number to train

3

Staff training (days)

60

Finance:

Shares to issue/repurchase
Term loans (€'000)
Machines to buy
Factory extension (sq. m.)

0
0
0
0

Dividend (cents/share)
Term deposit (€'000)
Machines to sell
Insurance plan

0
0
0
0

Information:

Market shares

1

Corporate activity

1

PHYSICAL RESOURCES: Usage and availability		HUMAN RESOURCES:			PRODUCT DATA:	Product 1	Product 2	Product 3
Space:	Sq. m.	Production personnel:	Assembly	Machining	Quantities:			
Land owned	1000	At start of last quarter	16	23	Scheduled	1151	829	490
Access/parking etc	200	Recruited	6	25	Produced	1181	851	503
Unused land	0	Trained	3		Rejected	30	21	13
Factory size next quarter	800	Dismissed	0	0	Lost or destroyed	0	1	0
Circulation and access	200	Left	0	7				
Machining operations	150	Available for next quarter	25	41	Delivered to:			
Assembly operations	250				European agents	887	646	370
Material and component stocks	205				Nafta distributors	87	29	40
Available space (overflow if negative)	-5				Internet distributor	177	154	80
Machines:	Number	Assembly workers:			Orders from:			
Number decommissioned	0	Hours available		7680	Europe	939	584	294
Machines in use last quarter	6	Absenteeism/sickness (hours)		104	Nafta	84	60	36
Number bought and installed	0	Hours worked		7342	Internet	407	251	110
Machines available for next quarter	6	Notice of strike weeks for next quarter		0	Sold to:			
					Europe	887	646	355
Theoretical hours available	6408				Nafta	87	46	36
Hours breakdown	7				Internet	177	154	80
Hours worked	3167	Agents/distributors:	Europe	Nafta	Internet			
Hours planned maintenance	83	Active last quarter	3	1	1			
Average machine efficiency %	98,6	Resigned	0	0				
		Dismissed	0	0	0			
Materials:		Appointed	0	2	0			
Opening stock available	42141	Active next quarter	3	3	1			
Bought spot	41							
Bought default	0							
Lost or destroyed	0							
Used	4222							
Closing stock	37960	Transport:	Europe	Nafta	Internet			
For delivery next quarter:		Journey length (km)	1381	500	300			
Bought last quarter	0	Number of loads	8	1	2			
Bought quarter before last	0							
For delivery quarter after next:	0							
Internet statistics:		Carbon footprint (CO2e):		Tonnes				
Number of web-site ports operated	10	Factory heating and lighting		7,60				
Number of visits to your web-site	24597	Energy used in production		13,70				
Estimated level of failed visits (%)	0	Total primary CO2e		21,30				
Number of internet service complaints	27							
					Warehouse stocks:			
					Europe	0	0	15
					Nafta	0	0	4
					Internet	0	0	0
					Guarantee services	17	13	8
					Product improvements	Major	Major	Minor
					Product components:			
					Assembled last quarter	50	30	20
					Ordered last quarter	100	50	50
					Closing stock	0	0	0
					Available for assembly	100	50	50

FINANCIAL STATEMENTS							
ADMINISTRATIVE EXPENSES	€	INCOME STATEMENT	€	BALANCE SHEET	€	CASH FLOW STATEMENT	€
Advertising	118000	Sales revenue	1183680	Non-current assets:		Operating activities:	
Internet distributor	36772			Land	50000	Trading receipts	893426
Internet service provider	16463	Opening inventory values	2297752	Buildings	400000	Insurance receipts	0
Agents and distributors	156503	Components purchased	38850	Machinery	1499656	Trading payments	1796806
Sales office	12856	Materials purchased	4055	Property, plant and equipment	1949656	Tax paid	0
Guarantee servicing	4970	Machine running costs	73807			Net cash flow from operations	-903380
Product development	77000	Machinists wages	194687	Current assets:		Investing activities:	
Web-site development	30000	Assembly wages	110812	Product inventories	7106	Interest received	0
Personnel department	122500	Quality control	2535	Component inventories	38850	Asset sales	0
Machine maintenance	7650	Hired transport	31400	Materials inventory	2025165	Assets purchased	0
Purchasing and warehousing	7556	Less closing inventory values	2071121	Trade receivables	665560	Net cash flow from investing	0
Business intelligence	12500	Cost of sales	682777	Cash and cash equivalents	0		
Credit control	2468	Gross profit	500903	Current assets	2736681	Financing activities:	
Insurance premiums	0	Administrative expenses	702089	Total assets	4686337	Shares issued	0
Management salaries	80000	Insurance receipts	0			Shares repurchased	0
Other costs	16851	Depreciation	38454	Liabilities:		Dividends paid	0
Total administrative expenses	702089	Operating profit/loss	-239640	Tax due	0	Additional loans	0
Accumulated taxable profit:		Finance income	0	Trade payables	226028	Interest paid	61546
Profit/loss before tax	-301186	Finance expense	61546	Bank overdraft	2366244	Net cash flow from financing	-61546
Previous taxable profit/loss	-2104749	Profit/loss before tax	-301186	Current liabilities	2592272		
Taxable profit/loss	-2405935	Tax assessed	0	Term loans	500000	Net cash flow	-964926
		Profit/loss for the period	-301186	Net assets	1594065	Previous cash balance	-1401318
		Earnings per share (cents)	-7,53			Cash balance	-2366244
				Equity:		(including a term deposit of -	0)
Insurance claimed	0	Dividends paid	0	Share capital	4000000	Overdraft limit for next quarter	1634000
Primary non-insured risk	4285862	Transferred to retained earnings	-301186	Share premium account	0	Borrowing power next quarter	0
		Previous retained earnings	-2104749	Retained earnings	-2405935		
		Retained earnings	-2405935	Total equity	1594065		

ECONOMIC INTELLIGENCE

	Europe	Nafta	Rest (of developed world)
Gross domestic product (de-seasonalised)	4155	4285	6038
% Unemployment rate (de-seasonalised)	8,4	4,4	
Balance of external trade	1895	1897	

Information about next quarter:

Central Bank base rate (% p.a.)	0,5	1,1	Exchange rate in € per \$ (USD)	0,83
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Building cost (€ per square metre)	500
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Component cost (€ per unit)	Product 1	Product 2	Product 3
from (no premium materials)	125	205	315
to (100% premium materials)	157	270	413

Material prices (\$ per '000 units)	Spot price	3 month	6 month
	78498	75387	71419

BUSINESS REPORT:

Competition among companies increases efficiency. Investment in training and new machines give organisations an edge over competitors.

FREE INFORMATION

	Company 1	Company 2	Company 3	Company 4	Company 5	Company 6	Company 7	Company 8
Stock market data:								
Share price (cents)	129,09	62,5	84,06	86,09	57,27	31,54	104,66	105,59
Market valuation (€)	6247956	2500000	3362400	3787960	2290800	1261600	4186400	3801240
Dividend paid (cents/share)	10	0	0	0	0	0	0	0
Investment performance (€)	5515467	2500000	3362400	3367237	2290800	1261600	4176030	4216117
Business intelligence:								
Product prices (€)								
Product 1: Europe	320	340	390	290	340	330	381	370
Nafta	340	340	430	290	330	350	363	410
Internet	350	320	455	290	350	350	372	540
Product 2: Europe	529	480	565	473	520	500	549	560
Nafta	550	530	650	473	500	530	549	615
Internet	570	520	750	473	530	550	549	775
Product 3: Europe	764	740	850	772	790	750	823	800
Nafta	780	730	880	772	780	750	791	880
Internet	879	800	970	772	820	860	837	999
Production employees	51	50	95	56	66	64	67	87
Assembly wage rate (cents/hr)	1200	1200	1240	1200	1200	1300	1280	1220
Number of agents/distributors	11	8	12	11	7	4	10	12

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COMPANY BALANCE SHEETS

for Company:	1	2	3	4	5	6	7	8
Assets								
Property, plant and equipment	1177306	1411076	1393540	1393540	1792704	1949656	1393540	1393040
Inventories	1194334	985320	1060238	1210501	2643338	2071121	255867	238251
Trade receivables	1910137	973784	1113746	1952550	737701	665560	1416500	1285148
Cash and cash equivalents	1891942	1260000	1150000	1150000	1170000	0	1532576	1172693
Liabilities								
Tax assessed and due	0	0	0	0	0	0	0	0
Trade payables	472900	215297	548106	494868	880490	226028	531455	306985
Bank overdraft	0	1651918	672865	1711056	2726700	2366244	0	0
Long term loans	0	0	0	0	0	500000	0	0
Equity								
Ordinary capital	4840000	4000000	4000000	4400000	4000000	4000000	4000000	3600000
Share premium account	286100	0	0	17480	0	0	7640	0
Retained earnings	574719	-1237035	-503447	-916813	-1263447	-2405935	59388	182147
Net Worth	5700819	2762965	3496553	3500667	2736553	1594065	4067028	3782147

PURCHASED INFORMATION

Company number:	1	2	3	4	5	6	7	8
Market shares (% by volume sold)								
Product 1: Europe	10,6	5,5	5,0	12,8	3,1	4,6	5,6	6,0
Nafta	9,3	2,5	1,9	13,0	3,3	0,8	6,0	2,3
Internet	15,0	4,1	2,9	15,1	2,6	1,8	12,2	2,5
Product 2: Europe	9,9	6,3	7,3	11,4	4,5	6,8	2,7	8,5
Nafta	9,9	3,0	3,7	13,0	3,5	0,9	8,8	5,3
Internet	13,2	4,1	3,1	12,7	2,4	2,9	14,3	7,0
Product 3: Europe	10,7	8,2	7,8	8,8	5,2	7,7	9,5	10,0
Nafta	12,6	5,3	6,5	9,8	4,3	1,5	11,9	7,5
Internet	12,6	4,9	5,4	10,2	3,3	3,3	15,0	12,2

Competitors' business activity

Company number:	1	2	3	4	5	6	7	8
Total advertising expenditure (€)	289000	114000	179000	295000	70000	118000	327000	150000
Total product development (€)	52000	52000	70000	52000	100000	77000	0	0
Consumer star ratings:								
Product 1	****	**	***	****	**	**	***	**
Product 2	****	***	**	****	**	**	***	****
Product 3	****	****	**	****	**	**	***	***
Web-site	****	***	****	****	***	**	****	****

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